

Introduction

Overview

Demographics

Segment Analysis

Retention

Strategy

Customer Segmentation Report

Executive Summary

- **The Project goal:** identify distinct customer groups based on purchasing behaviour to support targeted marketing and retention strategies.
- **Data:** orders from a global electronics retailer from 2016 to February 2021 across 8 countries, spanning both online and in-store channels. Analysis reference date: 31 March 2021.

15,266

Registered
Customers

26,326

Distinct Orders

2,517

Products

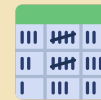
67

Stores

Key Metrics:



Recency: Months since last order



Frequency: Orders per month (relative to customer tenure)



Monetary: Total Spending (Revenue)

Data Processing:



MySQL: data cleaning and RFM segmentation



Power BI: visualization and interactive reporting

Segment



Whale

VIP

Potential Loyal

New Customer

Loyal Customer

Lapsing

Hibernated

Big Spender

At Risk

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Country

All

Year

All

Product Categ...

All

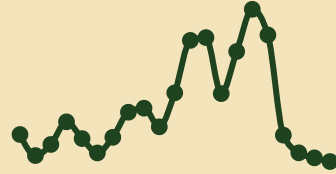
Order Type

All

Overview

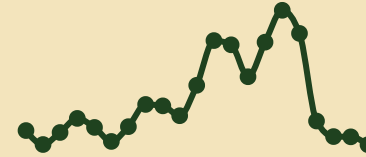
55.76M

Total Revenue (USD)



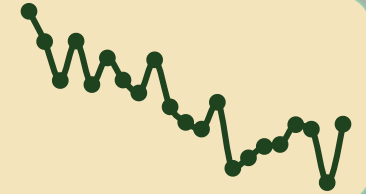
11887

Active Customers

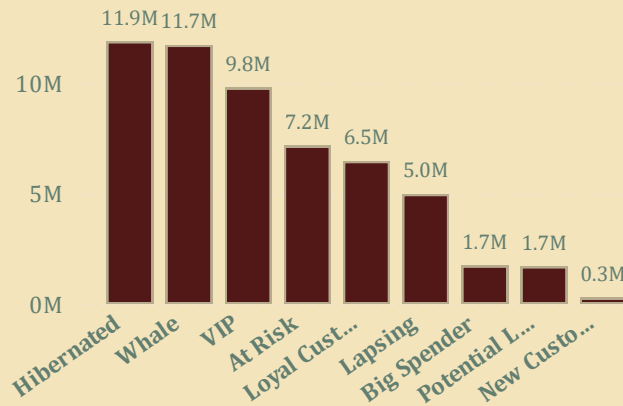


2,117.89

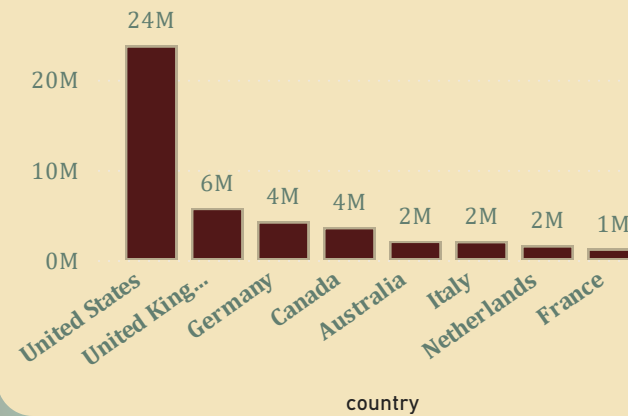
Average Order Value



Total Revenue by Segment



Total Revenue by Country



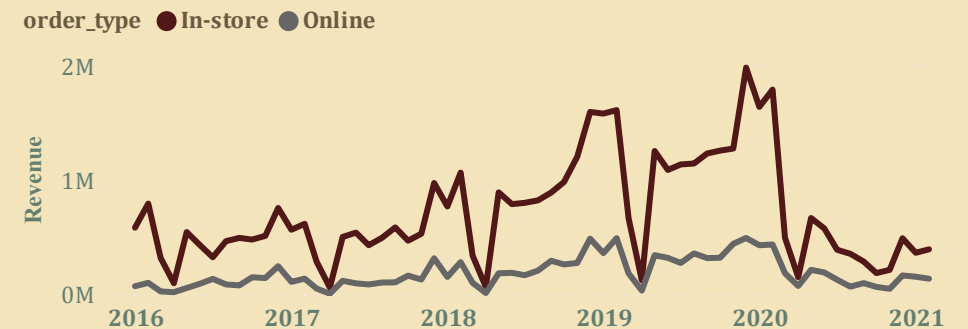
- **Whale** generate nearly equal revenue to **Hibernated** despite the size difference.
- **In-store** consistently outperform (even during the Pandemic).
- **Hibernated** makes up ~38% amount of the customers.
- **Customer acquisition** peaked in **2018-2019** => revenue growth, but decline drastically after.
- **Revenue** dips every **April** => possibly pull back behavior after holiday season.

Customers Segment



Customer Count

Revenue by Order Type



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Country

All

Year

All

Segment

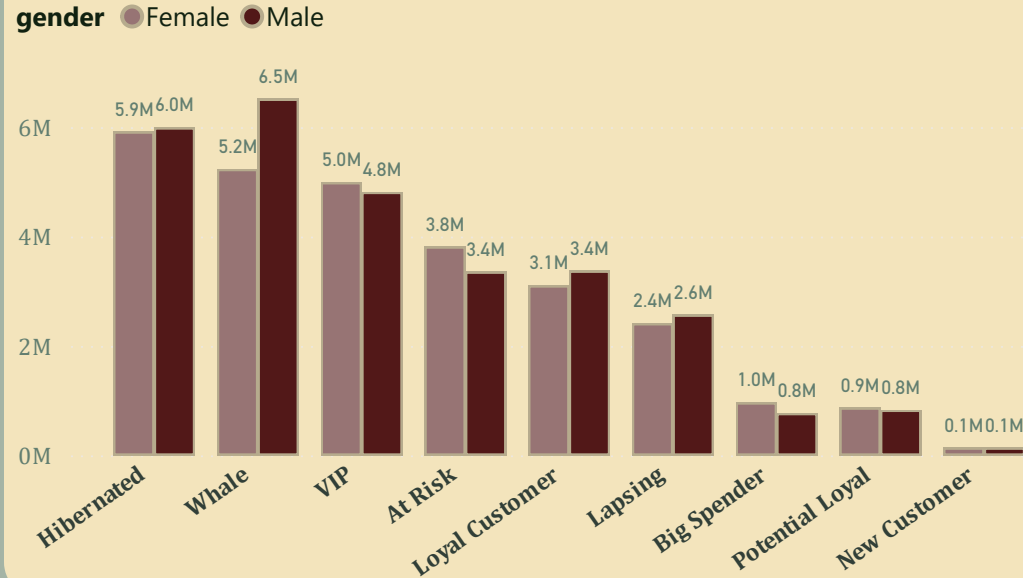
All

Order Type

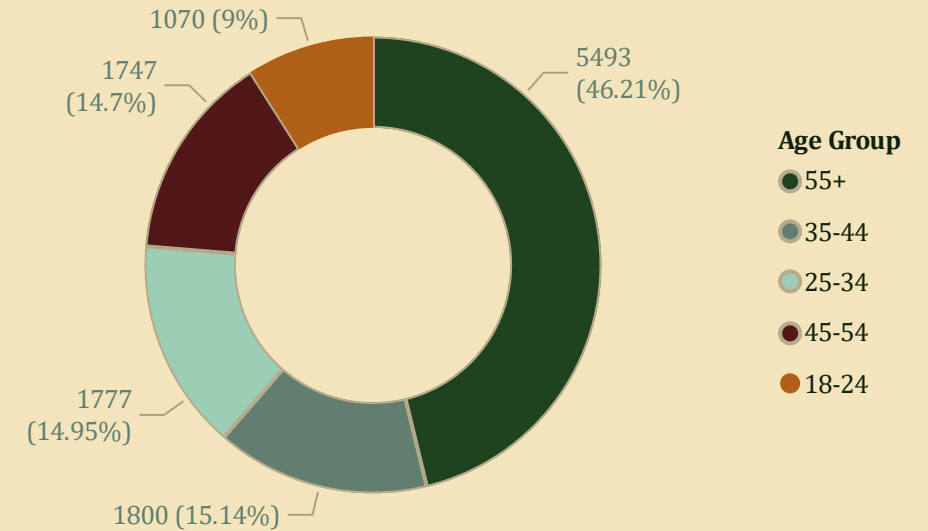
All

Demographic

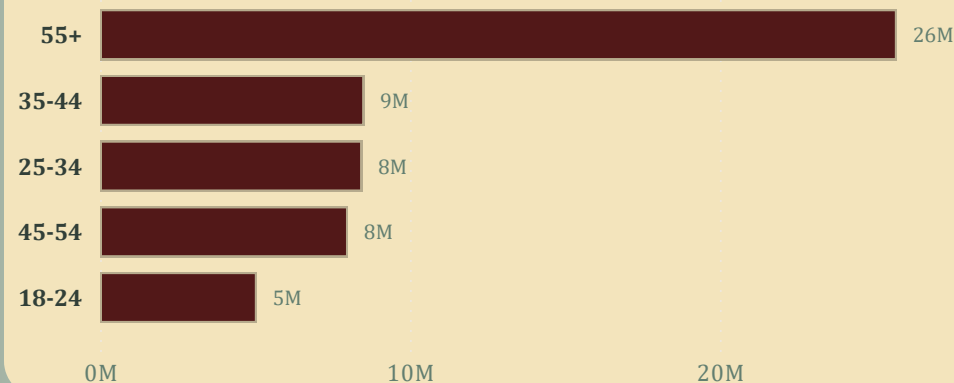
Total Revenue by Segment & Gender



Customer count by Age Group



Total Revenue by Age Group



- **55+** group generate ~46% total **Revenue** while also being the biggest group.
- **Revenue** distribution mirrors **customers** distribution across all **Age Group**.
- **Male Whale** out perform by **25%** (6.5M vs 5.2M).
- **Female** leads in **At Risk**.
- The majority of revenue comes from no longer active customers (**Hibernated**).

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Country

All

Gender

All

Segment

All

Segment Analysis

0.08

Avg Frequency

20.99

Avg Recency (months)

4,690.46

Avg Monetary

Segment Comparison

Hibernated

VIP

4539

Customer
count

1451

11.90M

Total
Revenue

9.80M

2,622.30

Avg spending
per Customer

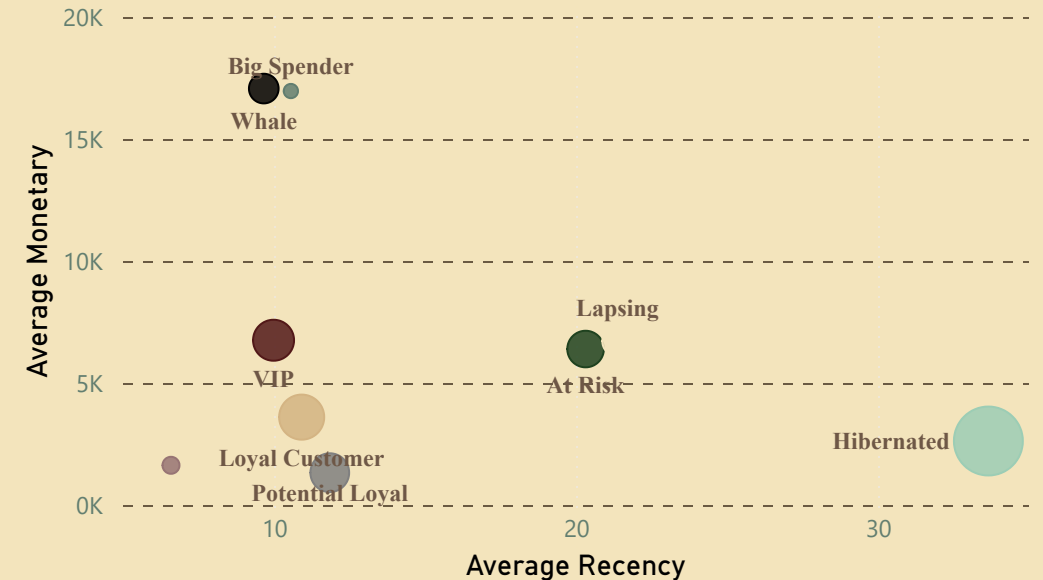
6,752.34

21.35

% of total
Revenue

17.57

Segments Profile Matrix



- **Whale** spend averagely nearly 5 times more compared to **Loyal Customer** (17K vs 3.6K)
- **At Risk** also generate higher revenue than **Loyal Customer** with smaller population.
- **New customer** is the smallest with the least revenue, signaling slow customer acquisition rate.

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year

All

month

All

Segment

All

Month After

All

Retention Rate

3.21

Avg 1 month Retention Rate

7,167

Returning Customers

17.39

Peak Retention Rate

199.85

Avg Monthly New Customer

Return Customer by month

Year	1	2	3	4	5	6	7	8	9
2016	55	42	39	47	48	47	46	40	5
2017	33	53	45	44	74	60	61	69	7
2018	120	126	130	112	124	133	169	135	16
2019	147	116	126	131	123	127	130	113	11
2020	27	5	6	12	11	8	5	10	
Total	382	342	346	346	380	375	411	367	40

Cohort Retention Rate (%) by month

Year	1	2	3	4	5	6	7	8
2016	2.15	1.64	1.52	1.84	1.87	1.84	1.80	1.5
2017	1.39	2.23	1.89	1.85	3.11	2.53	2.57	2.5
2018	3.87	4.06	4.19	3.61	3.99	4.28	5.44	4.2
2019	5.19	4.10	4.45	4.63	4.34	4.48	4.59	3.5
2020	2.85	0.53	0.63	1.27	1.16	0.84	0.53	1.0
Average	3.21	2.88	2.91	2.91	3.20	3.15	3.46	3.0

- **Average retention** of 3.21% after 1 month => ~97% of customers do not return the following month after their first purchase.
- **Monthly retention** varies significantly (~0-17%), suggesting **sporadic repurchase behavior** rather than consistent loyalty.
- **At Risk** have the widest range in **Average retention rate** (~3.39-9.55), peak retention rivals the highest performers while their floor still exceeds most segments.

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Recommendation

PROTECTING

- For **Whale, VIP** and **Loyal Customers**.
- Exclusive offer, early access/release.
- Set up **Recency** warning, personal reach-out after about every **2-3 months**.
- Target **55+** group, dominating both segments, especially **Male Whale**

WIN BACK

- Most likely for **Lapsing** and **At Risk**.
- **At Risk** is highly reactive within **6 months** from last order (Averagely **~7-9% Retention Rate**) => best time to win back.
- **Lapsing** spend more, less often, push for **relevance (new category)**.
- **Female** in **At Risk** generate more revenue => **gender-specific** offer recommened.

REACTIVATING

- For **Hibernated**.
- Reach out after **~25 months** base on average **Recency**.
- **New drops** campaign will fit more, since they have decent **average spending**, just long **inactivity**.
- **Online** will be a better approach.

DEVELOPING

- For **New** and **Potential Loyal**.
- **~97%** of **New Customers** don't come back after **1 months** => leverage the **1st 90 days** to keep them engaged.
- **Potential Loyal** are active quite **recent** but but not committed => **more offers and loyalty programs**
- Utilise Online channel more to acquire and keep more New Customers